

Purpose

The purpose of this quick reference guide is to step through the process of creating a General Payee Deduction record. The intended audience for this document are system administrators / standard users.

Steps

Create a new General Payee Deduction record

The General Payee Deduction record holds general information, Pay Code and Rates, Quantity Worked variations, Deduction Limits, Recipient details and Deduction Statistics for a Payee Deduction Record.

Create a General Payee Deduction by following the below steps:

1. Navigate to the **Payee** record:
 - a. To identify a Payee record from an Employee record, enter the Employee name into the **Global Search** (see Figure 1).
 - b. Select the **Employee** record from the suggestions provided.
 - c. Open the **Related** tab (see Figure 2).
 - d. Identify the **Payee** related list.
 - e. Select the **Payee** record.

Figure 1

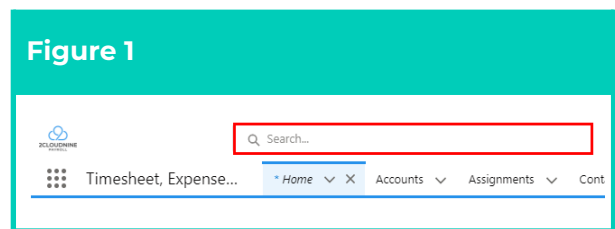
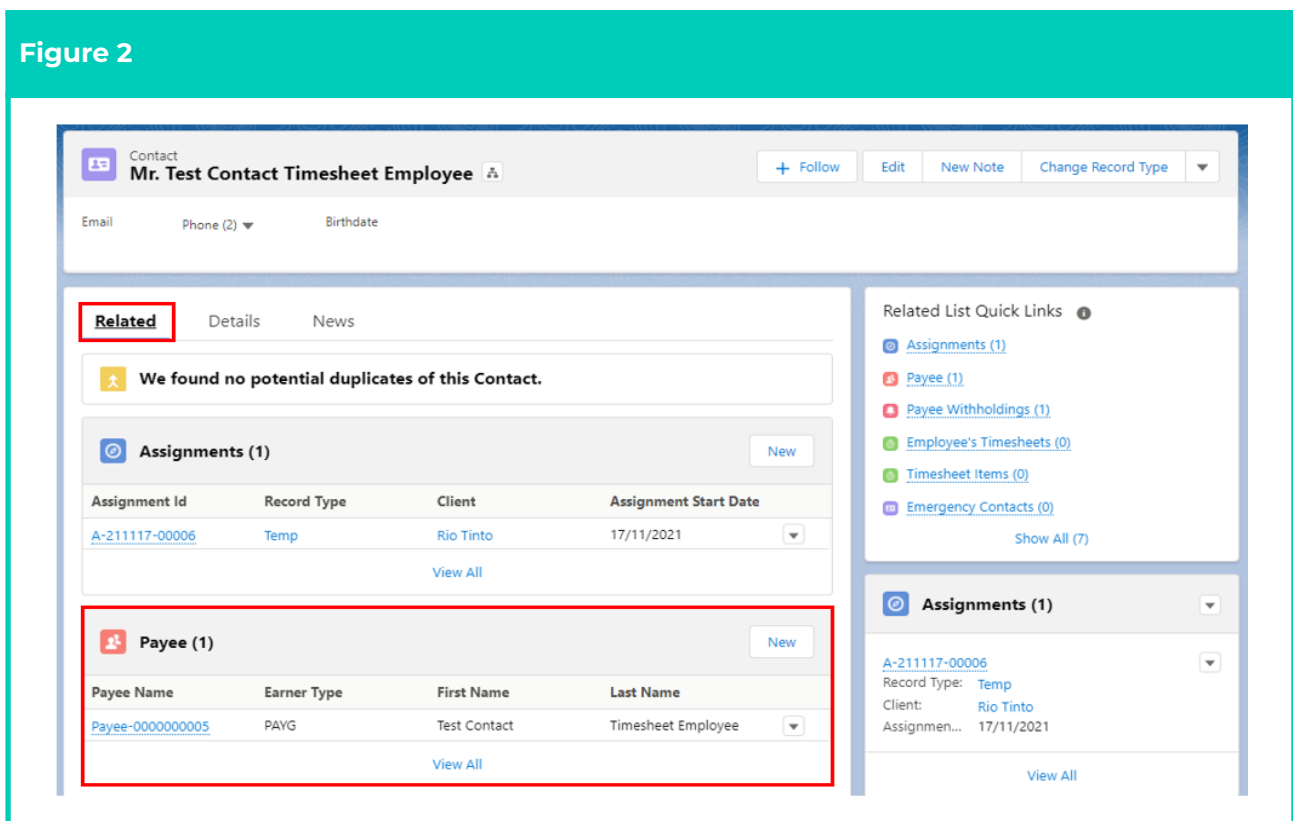
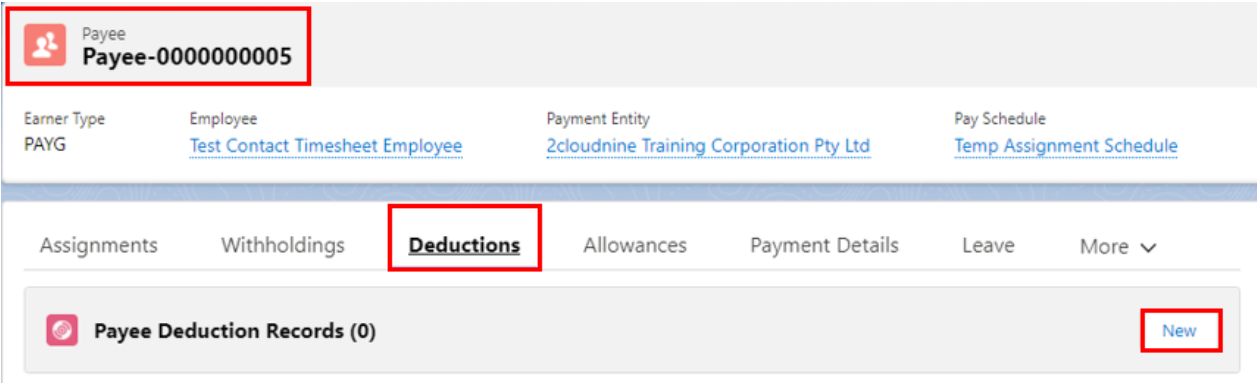


Figure 2



2. Click **Deductions** from the tab options (see Figure 3).
3. Click the **New** button.

Figure 3



Payee
Payee-0000000005

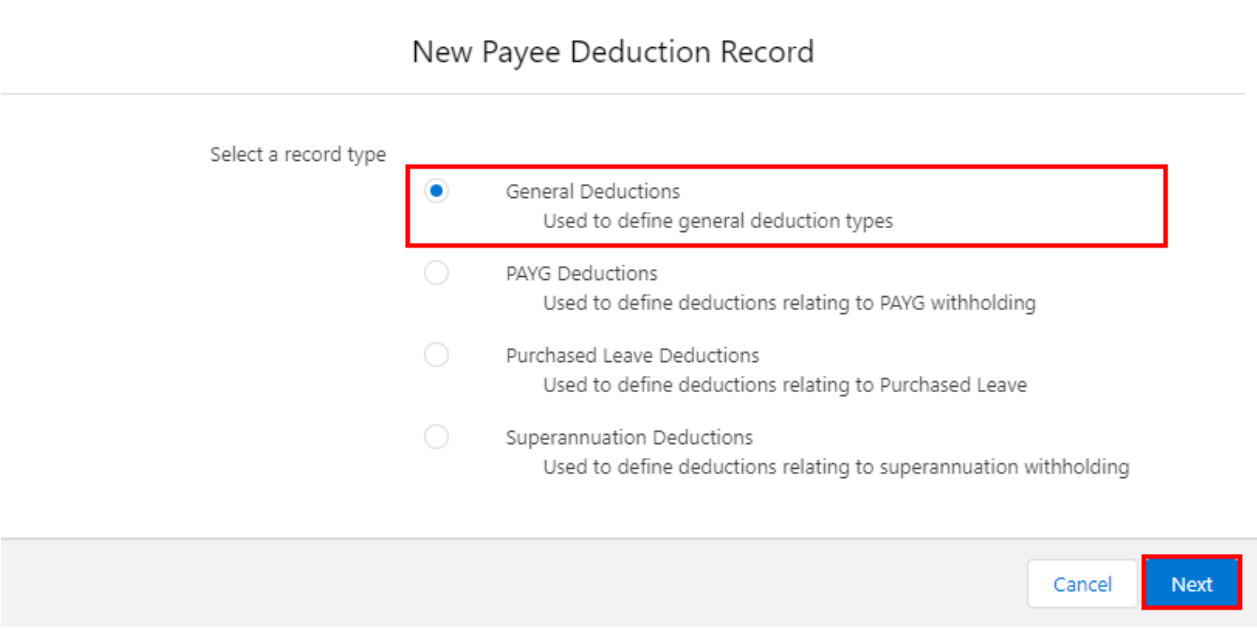
Earners Type: PAYG
Employee: [Test Contact Timesheet Employee](#)
Payment Entity: [2cloudnine Training Corporation Pty Ltd](#)
Pay Schedule: [Temp Assignment Schedule](#)

Assignments Withholdings **Deductions** Allowances Payment Details Leave More ▾

 **Payee Deduction Records (0)** [New](#)

4. Select **General Deductions** from the available record types (see Figure 4).
5. Click the **Next** button.

Figure 4



New Payee Deduction Record

Select a record type

- ☒ **General Deductions**
Used to define general deduction types
- ☐ PAYG Deductions
Used to define deductions relating to PAYG withholding
- ☐ Purchased Leave Deductions
Used to define deductions relating to Purchased Leave
- ☐ Superannuation Deductions
Used to define deductions relating to superannuation withholding

[Cancel](#) [Next](#)

6. If you are using Payee Deduction Templates, please proceed to step 7, otherwise you can skip to step 8.

7. Populate the following required fields **ONLY** if you are using the Payee Deduction Templates (see Figures 5 - 6):
 - a. **Payee Deduction Record**
 - b. **Payee Deduction Template**
 - c. **Payee**
 - d. **Employee**
 - e. **Payment Entity**
 - f. **Effective Date**
 - g. **Pay Code** - only if not populated on the Payee Deduction Template
 - h. **Status**
8. Populate the following required fields to provide the base details of the record. This step is applicable when you are **NOT** using the Payee Deduction Templates (see Figures 5 - 6):
 - a. **Payee Deduction Record**
 - b. **Payee**
 - c. **Employee**
 - d. **Payment Entity**
 - e. **Effective Date**
 - f. **Pay Code**
 - g. **Deduction Rate Type**
 - h. **Deduction Rate**
 - i. **Deduction Order**
 - j. **Based on Quantity Worked**
 - k. **Status**
9. Populate the following optional fields as needed (see Figures 5 - 6):
 - a. If the Payee Deduction is specific only to one Assignment, populate the **Assignment** field. If blank, this Payee Deduction will apply to all Assignments for this Payee.
 - b. To define the recipient of the Deductions as a company not detailed in a Payee Withholding Record, and to enable reporting on this recipient if required, select Account from the picklist values available in the **Pay to Type** field.
 - If the Pay to Type is populated as Account, then the **Pay to Account** field will become a required field, to define the specific Account the Deductions relate to.
 - c. If the field Based on Quantity Worked is set to Yes, populate the optional fields **Quantity Worked Minimum** and **Quantity Worked Maximum**.
10. To define any required rules and limits that will be used in assessing and determining the Payee Deduction record, populate the following optional fields as needed. If left blank the rule / limit will not apply:
 - a. **Expiry Date**
 - b. **Deduction Units**
 - c. **Total Deduction Limit**
 - d. **Quantity**
 - e. **Pay Calendar Period Deduction Limit**
 - f. **Protected Amount Applied**
 - g. **Is Rollover Underpaid Deductions?**
11. To prevent the Status of the Payee Deduction from being updated by the automatic status update scheduled job, check the **Exclude From Auto Update** checkbox.
12. Click the **Save** button.



The Payment File for this deduction can not be automated within 2cloudnine Payroll, and will need to be created directly within your banking software.

Figure 5

New Payee Deduction Record: General Deductions

Information

* Payee Deduction Record

Example General Union Fees Deduction

Payee

Payee-0000000005

Employee

Test Contact Timesheet Employee

Assignment

Search Assignments...

Payment Entity

2cloudnine Training Corporation Pty Ltd

Owner

Bianca Maxwell

Record Type

General Deductions

Pay Batch Event

Search Pay Batch Events...

Exclude From Auto Update

☐

Pay Code and Rates

Effective Date

17/11/2021

Expiry Date

Status

Pending

Payee Deduction Template

Search Payee Deduction Templates...

Pay Code

Example Union Fees Deduction Pay Code

Deduction Rate

35.000000

Deduction Rate Type

Amount

Deduction Order

1

Deduction Units



An Assignment should only be entered if the Deduction is directly related to a specific role. If an Assignment is not entered, the Deduction will apply to all Pay Transactions processed to the Payee.



The Pay Batch Event field will be automatically populated upon saving the record, and should not be manually entered.

Figure 6

Quantity Worked Deductions

Based on Quantity Worked ⓘ
No

Quantity Worked Minimum ⓘ

Quantity Worked Maximum ⓘ

Deduction Limits

Total Deduction Limit ⓘ

Quantity ⓘ

Pay Calendar Period Deduction Limit ⓘ

Protected Amount Applied ⓘ

Is Rollover Underpaid Deductions? ⓘ
☐

Deduction Recipient

Pay To Type ⓘ
Account

Pay To Account Record ⓘ

Union Fees

Pay To Withholding Record ⓘ

Deduction Payrun Statistics

Rolled Over Amount Withheld ⓘ

Latest Deductions Date ⓘ

Number of Times Applied ⓘ

Total Of Deductions Applied ⓘ

Rolled Over Amount Not Withheld ⓘ

Rolled Over Amount Balance ⓘ

Amount Remaining ⓘ

Cancel

Save & New

Save



The Based on Quantity Worked is critical for Payees with Assignments that have Deductions which are reliant on scalable rates against actual hours processed within a Pay Batch for a particular Pay Calendar Period.



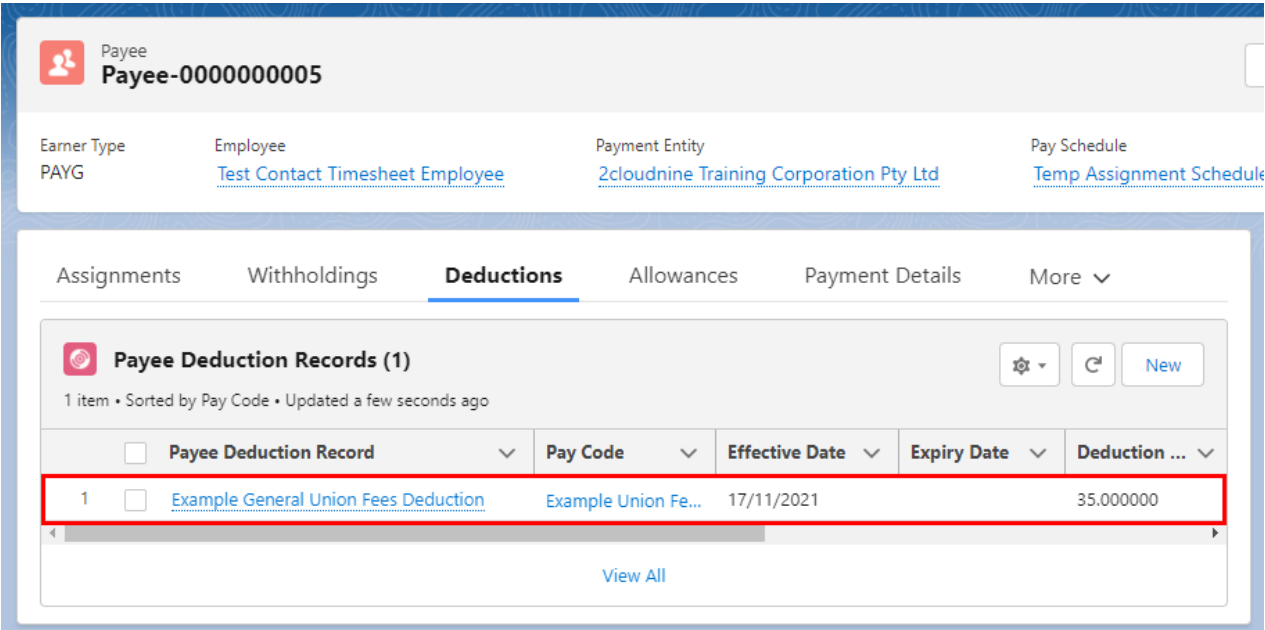
The Deduction Payrun Statistics will update automatically with historical statistics of the Deduction record, and should never be manually populated.



The Status of the record will be automatically updated upon saving the record, based on the Start Date and End Date.

A new **General Payee Deduction Record** is now created (see Figure 7).

Figure 7



Payee
Payee-0000000005

Earner Type: PAYG | Employee: [Test Contact Timesheet Employee](#) | Payment Entity: [2cloudnine Training Corporation Pty Ltd](#) | Pay Schedule: [Temp Assignment Schedule](#)

Assignments | Withholdings | **Deductions** | Allowances | Payment Details | More ▾

Payee Deduction Records (1) [Settings] [Refresh] [New]

1 item • Sorted by Pay Code • Updated a few seconds ago

☐	Payee Deduction Record ▾	Pay Code ▾	Effective Date ▾	Expiry Date ▾	Deduction ... ▾
1	Example General Union Fees Deduction	Example Union Fe...	17/11/2021		35.000000

[View All](#)



Payee Deduction records CANNOT be deleted if they have related records or are used in other records. Deleting records is not recommended unless absolutely essential.

Create a Payee Deduction - General

13. To modify an existing **Payee Deduction** record, open the required record and select the **Edit** button available on the top right side of the page. You can also double click within fields that need editing or just click on the pencil icon  that appears within fields when hovering with your cursor.
14. When complete, click on the **Save** button.

Field Descriptions

Assignment details if this Payee Deduction Record is specific to an Assignment. If no Assignment is entered, the Deduction will apply to Pay Transactions for all Assignments related to the Payee.

Based on Quantity Worked indicates whether the Deduction considers the quantity of units worked per Payee Pay Batch in the calculation of the Deduction Pay Transactions.

Deduction Order determines, after the application of being a pre-tax or post-tax deduction (as per the Associated Pay Code), the ascending order in which Payee Deduction records will be assessed during the creation of the Deduction Pay Transaction.

Deduction Rate defines the rate that will be used when calculating the deduction amount during the creation of the Deduction Pay Transaction.

Deduction Rate Type defines if the value outlined in the Deduction Rate field should be treated as a fixed amount or as a percentage of the Payee's earnings.

- **Amount** is the fixed amount to be deducted from the Payees earnings for the pay period.
- **Deductions Units x Deduction Rate** is the Deduction Units multiplied by the Deduction Rate.
- **Percentage of Gross** is the amount to be deducted as a percentage of the Payee's Gross earnings for the pay period.
- **Percentage of OTE** is the amount to be deducted as a percentage of the Payee's Ordinary Time Earnings (OTE) for the pay period.
- **Percentage of Taxable Gross** is the amount to be deducted as a percentage of the Payee's Taxable Gross earnings for the pay period.
- **Rate per Quantity Worked** applies a flat rate per Quantity Worked to be deducted for the pay period.

Deduction Units defines the number of units which will be deducted per calendar period if the selected Deduction Rate Type is Deduction Units multiplied by the Deduction Rate.

Effective Date is the date the Deduction will become effective. Deductions will not be paid before this date.

Employee is the Employee record this Payee Deduction Record relates to. Must match the Employee of the Payee.

Expiry Date is the date the Deduction expires. Deductions will not be taken after this date. If blank, no expiry date applies.

Is Rollover Underpaid Deductions defines if deduction amounts that cannot be withheld should be rolled over to be withheld in future payruns.

Pay Calendar Period Deduction Limit defines an upper limit to the Deduction amount that can be withheld on a per Pay Calendar Period basis. When Deductions are calculated, the Deduction amount withheld will be adjusted to ensure this amount is not exceeded. If blank, no limit applies.

Pay Code defines the Pay Code that will be used when a Deduction Pay Transaction is created.

Payee Deduction Record defines the name for the Payee Deduction.

Payee Deduction Template relates the Payee Deduction Record to a Deduction Template. Populating this field enables users to complete less fields and have them default according to the values in the Deduction Template.

Payee is the Payee record this Payee Deduction Record relates to.

Payment Entity is the Payment Entity this Payee Deduction Record relates to.

Pay To Account Record where the Pay To Type field is set to Account, this field defines the Account record that payments will be made to. The Payment File for this is not something that can be automated within 2cloudnine Payroll, and will need to be created directly within your banking software.

Pay To Type defines how Deductions withheld should be paid forward. For General Deductions, this can

Create a Payee Deduction - General

be Account or blank.

Pay To Withholding Record is where the Pay To Type is Payee Withholding, defines the Payee Withholding Record detailing the where recipient payments should be made to. This field should not be populated for General Payee Deduction records, as the Pay To Type field should always be set to Account.

Protected Amount Applied is the protected net earnings beyond which this Deduction will not be calculated.

Quantity defines the number of times the Deduction will be taken. If blank, no limit applies.

Quantity Worked Maximum is the maximum number of hours that may be applied to the Deduction, if the actual hours worked for the period are less than or equal to this value.

Quantity Worked Minimum is the minimum number of hours that may be applied to the Deduction, if the actual hours worked for the period are greater than or equal to this value.

Total Deduction Limit defines a maximum limit to the Deduction amount that can be withheld for the Deduction. When Deductions are calculated, the Deduction amount withheld will be adjusted to ensure this amount is not exceeded. If blank, no limit applies.

Further Information

Document	Document Type	Description
QRG Create a Payee record	Task Instructions	How to create a Payee Record
QRG Create a Payee Deduction - PAYG	Task Instructions	How to create a PAYG Payee Deduction
QRG Create a Payee Deduction - Superannuation	Task Instructions	How to create a Superannuation Payee Deduction
QRG Create a Payee Deduction - Purchased Leave	Task Instructions	How to create a Purchased Leave Payee Deduction
QRG Create a Payee Deduction Template	Task Instructions	How to create a Payee Deduction Template